MCQ QUESTIONS

Digital economy

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Multiple-Choice Quiz - Digital Economy

University (tertiary) level - 15 questions (5 Easy, 5 Medium, 5 Hard). Each item includes four options (A-D), the correct answer, and a brief explanation.

Easy

Q1. Which definition best captures the *digital economy*?

A) The total value of all software licences sold worldwide.

B) Economic activities that rely on digital technologies, data, and networked platforms, including both the creation of digital goods and the digitalisation of traditional sectors.

C) The market for electronic devices such as smartphones and laptops.

D) The sum of all online advertising expenditures.

✔ Correct Answer: B

Explanation: The digital economy encompasses all production, distribution, and consumption activities that are enabled or transformed by digital technologies, not just narrow subsectors.

Q2. What is a *network effect* in platform economics?

A) The increase in latency as more users join a network.

B) The reduction in production costs due to economies of scale.

C) The rise in a platform's value to each user as the total number of users grows.

D) The legal requirement for platforms to share data with regulators.

✔ Correct Answer: C

Explanation: Positive network effects occur when each additional user makes the service more valuable for existing users.

Q3. Which statement about *digital infrastructure* is most accurate?

A) It consists solely of physical broadband cables.

B) It includes hardware, software, and connectivity layers such as data centres, cloud platforms, and IoT sensors.

C) It is limited to government-owned data centres.

D) It only refers to user-end devices like smartphones.

✔ Correct Answer: B

Explanation: Digital infrastructure is a layered ecosystem that combines physical hardware, software services, and connectivity.

Q4. Which sector is *not* typically classified under the *gig / sharing economy*?

A) Ride-hailing services.

B) Freelance graphic-design marketplaces.

C) Traditional full-time manufacturing employment.

D) Short-term home-rental platforms.

✔ Correct Answer: C

Explanation: The gig economy relies on on-demand, platform-mediated work; conventional full-time manufacturing jobs lack this structure.

Q5. In 2023, the global digital economy accounted for approximately what share of world GDP?

A) 5 %

B) 12 %

C) 23 %

D) 40 %

✔ Correct Answer: C

Explanation: Estimates place the digital economy's contribution at roughly 23 % of global GDP in 2023 (~ US$ 30 trillion). ### Medium

Q6. Why is *data* considered an asset in the *data economy*?

A) Data can be stored indefinitely without any cost.

B) Data can be collected, processed, and monetised through services such as data-as-a-service and data marketplaces.

C) Data automatically generates revenue without any analytical effort.

D) Data is regulated as a tangible commodity under international law.

✔ Correct Answer: B

Explanation: Data gains economic value when it is harvested, analysed, and sold or used to create services; it is not cost-free nor automatically profitable.

Q7. Which technological combination most directly enables *FinTech* innovations such as smart-contract-based lending?

A) 5G connectivity and IoT sensors.

B) Blockchain/DLT and AI/ML algorithms.

C) Legacy mainframe systems and batch processing.

D) Traditional brick-and-mortar banking infrastructure.

✔ Correct Answer: B

Explanation: Decentralised ledgers provide trust-less contract execution, while AI/ML support risk assessment and automation.

Q8. Which scenario illustrates a *positive* network effect?

A) A social-media platform becomes slower as more users upload videos, leading to churn.

B) An online marketplace experiences higher transaction volumes because more sellers attract more buyers, and vice-versa.

C) A cloud-service provider raises prices after reaching a critical mass of customers.

D) A ride-hailing app reduces driver earnings as passenger numbers increase.

✔ Correct Answer: B

Explanation: The mutual reinforcement of buyer and seller participation is the classic positive network effect.

Q9. To capture the multidimensional nature of the *digital divide*, which metric set is most comprehensive?

A) Number of smartphones sold per year.

B) Broadband penetration rate, digital-literacy scores, and affordability indices.

C) Total volume of e-commerce transactions.

D) Number of data centres built in a country.

✔ Correct Answer: B

Explanation: Access (broadband), skills (literacy), and cost (affordability) together reflect the three main dimensions of the divide.

Q10. Which statement correctly distinguishes *cloud computing* from *edge computing*?

A) Cloud computing processes data centrally in large data centres; edge computing processes data close to the source to reduce latency.

B) Cloud computing requires 5G networks, whereas edge computing works only on 4G.

C) Edge computing stores all data permanently, while cloud computing stores data temporarily.

D) Cloud computing is a subset of edge computing.

✔ Correct Answer: A

Explanation: Cloud centralises resources; edge pushes computation to the network periphery for latency-sensitive tasks. ### Hard

Q11. A government is designing a *digital services tax* (DST) aimed at multinational platform firms. Which policy rationale aligns best with the concepts discussed in the brief?

A) To equalise tax burdens because digital firms often generate significant revenue in a jurisdiction without a physical presence.

B) To subsidise broadband rollout by taxing only domestic ISPs.

C) To replace all existing corporate income taxes with a flat DST rate.

D) To penalise all e-commerce transactions regardless of value added.

✔ Correct Answer: A

Explanation: DSTs address the fiscal gap created when digital firms earn income locally but lack a taxable nexus.

Q12. How do *smart contracts* on a blockchain reduce the need for traditional intermediaries in a *platform economy*?

A) By encrypting all user data, making intermediaries redundant for privacy.

B) By executing self-enforcing code that automatically verifies conditions and transfers assets, eliminating manual verification.

C) By providing high-frequency trading capabilities that outpace human brokers.

D) By guaranteeing zero transaction fees for all platform users.

✔ Correct Answer: B

Explanation: Smart contracts encode contractual logic that triggers automatically when predefined conditions are met, removing third-party enforcement.

Q13. Which explanation best describes how *AI-driven predictive analytics* can amplify *network effects* on a digital marketplace?

A) AI reduces the number of users needed for a platform to become valuable.

B) AI personalises matching and recommendation, increasing user satisfaction and encouraging more participants; the larger user base then supplies richer data that further improves AI models.

C) AI eliminates the need for data, thereby simplifying platform architecture.

D) AI guarantees that every transaction will be profitable, removing market risk.

✔ Correct Answer: B

Explanation: Enhanced matching creates a virtuous cycle: more satisfied users generate more data, which refines AI predictions, attracting even more users.

Q14. A multinational corporation plans to shift 60 % of its legacy IT workloads to a *multi-cloud* strategy by 2026. Which risk is most directly linked to *cybersecurity & trust architecture* in this context?

A) Increased latency due to data travelling between clouds.

B) Vendor lock-in that prevents switching providers.

C) Expanded attack surface resulting from heterogeneous environments and inconsistent security policies across providers.

D) Higher capital expenditure on on-premise servers.

✔ Correct Answer: C

Explanation: Multi-cloud deployments create a larger attack surface because each provider has its own security controls, APIs, and integration points; inconsistencies can lead to misconfigurations and vulnerabilities if not centrally managed.

Q15. Given a reported CAGR of ~ 9 % for global digital-services revenue (2020-2025) and a projected US$ 1 trillion cloud-computing market by 2026, which strategic implication is most compelling for a university curriculum designer?

A) Reduce emphasis on data-analytics courses because the market will become saturated.

B) Prioritise interdisciplinary modules that integrate cloud architecture, AI, and regulatory frameworks to prepare graduates for rapidly expanding digital-service ecosystems.

C) Focus exclusively on teaching legacy programming languages, as they remain dominant in digital transformation.

D) Eliminate courses on digital taxation, assuming it will be handled by automated AI systems.

✔ Correct Answer: B

Explanation: Strong growth signals demand for professionals who can navigate technical, analytical, and regulatory dimensions of digital services; curricula should reflect this interdisciplinary need.